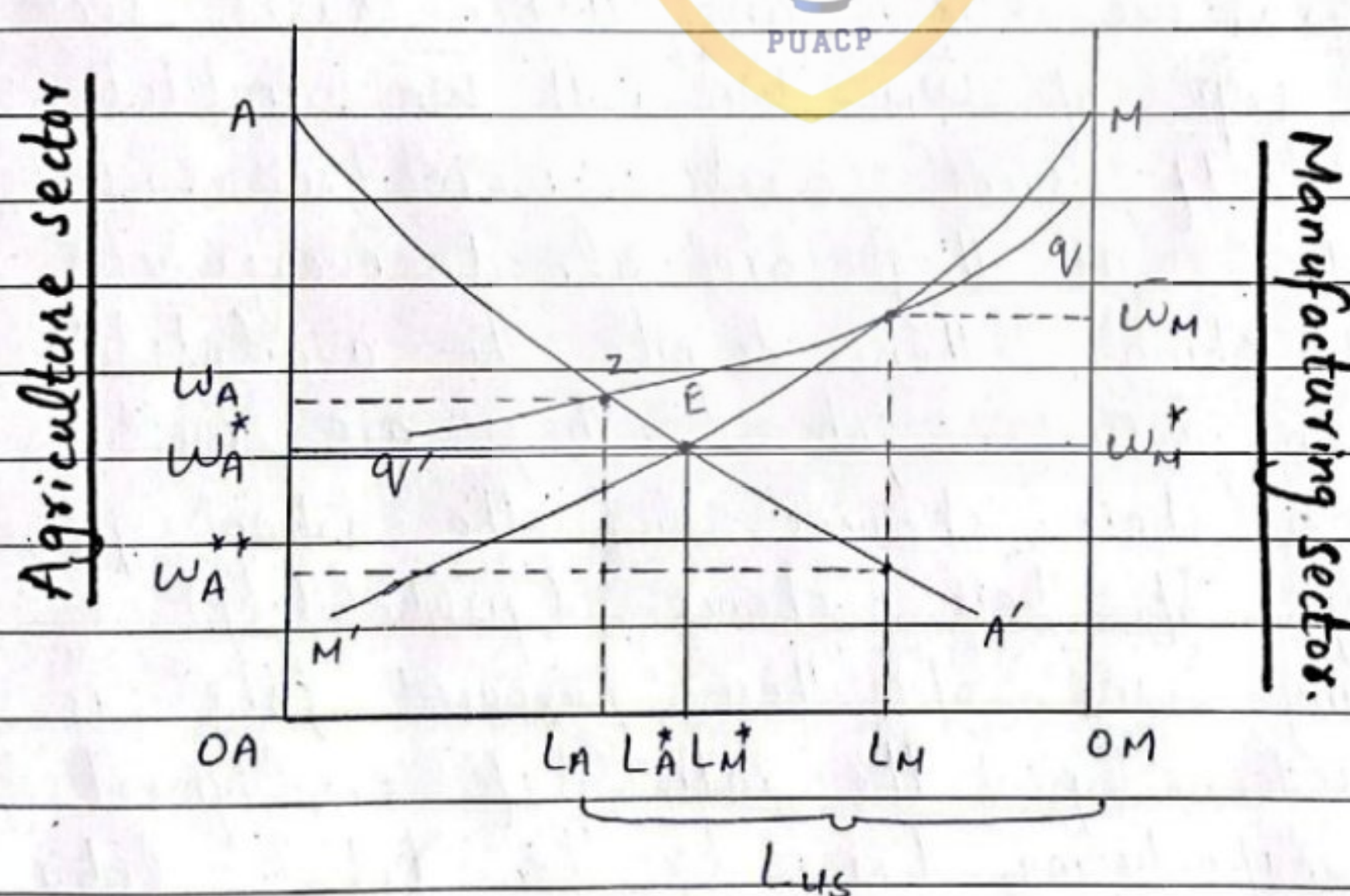


A VERBAL DESCRIPTION OF THE TODARO MODEL

Starting from the assumption that migration is primarily an economic phenomenon, which for the individual migrant can be a quite rational decision despite the existence of urban unemployment, the Todaro model postulates that migration proceeds in response to urban-rural differences in expected income rather than actual earnings.

* A diagrammatic representation:-



Assume only two sectors, rural agriculture and urban manufacturing. The demand for labor (the marginal product of labor curve) in agriculture is given by the negatively sloped line AA'. Labor demand in manufacturing is given by MM'. The total labor force is given by the line OAO M. In a neo-classical, flexible wages, full-employment market economy, the equilibrium wage would be established

at $W_A^* = W_M^*$ with $OALA^*$ workers employed in agriculture and $OMLM^*$ workers employed in urban manufacturing. All available workers are therefore employed.

But what if urban wages are institutionally determined (inflexible downward) as assumed by Todaro at a level $\bar{W}_M$, which is at a considerable distance above W_A^* ?

If for a moment, we continue to assume that there is no unemployment, $OMLM$ workers would get jobs (urban jobs) and the rest $OALA$ workers would have to settle for rural employment at $OAWA^*$ wages (below free market level of $OAWA^*$). So now we have an urban-rural real wage gap of $\bar{W}_M - W_A^*$ with $\bar{W}_M$ institutionally fixed. If rural workers were free to migrate (as they are almost everywhere except China), then despite the availability of only $OMLM$ jobs, they are willing to take their chances in the urban job lottery. If their chance (probability) of securing one of these favoured jobs is expressed by the ratio of employment in manufacturing L_M to the total labor pool, L_{us} then the expression,

$$W_A = \frac{L_M}{L_{us}} \times (\bar{W}_M)$$

shows the probability of urban job success necessary to equate agricultural income W_A with the expected urban income $\frac{L_M}{L_{us}} \times \bar{W}_M$, thus causing a potential migrant

to be indifferent between job locations. The locus of such points of indifference is given by qq' curve in the given figure.

The new employment equilibrium now occurs at point 2, where the urban-rural actual wage gap is $\bar{w}_m - w_A$. OALA workers are still in the agriculture sector and OMLM are either unemployed or engaged in low-income agriculture sector activities.

* Policy implications:-

- (1) First, this heavy influx of people into urban areas not only gives rise to socio-economic problems in cities but may also eventually create problems of labor shortages in rural areas.
- (2) Second, a policy designed to reduce urban unemployment may lead not only to higher levels of urban unemployment but also to lower levels of agricultural output, due to induced migration.
- (3) Todaro migration model is that there is a growing need for a policy package that does not exacerbate these historical trends towards by urbanization by artificially creating serious imbalances in economic opportunities between urban and rural areas.

INVESTING IN EDUCATION AND HEALTH

THE HUMAN CAPITAL APPROACH:-

Human capital is the term economists often use for education, health and other human capacities that can raise productivity when increased.

Formally, the income gains can be written as follows where E is income with extra education, N is income without extra education, t is the discount rate, and the summation is over expected years of working life:

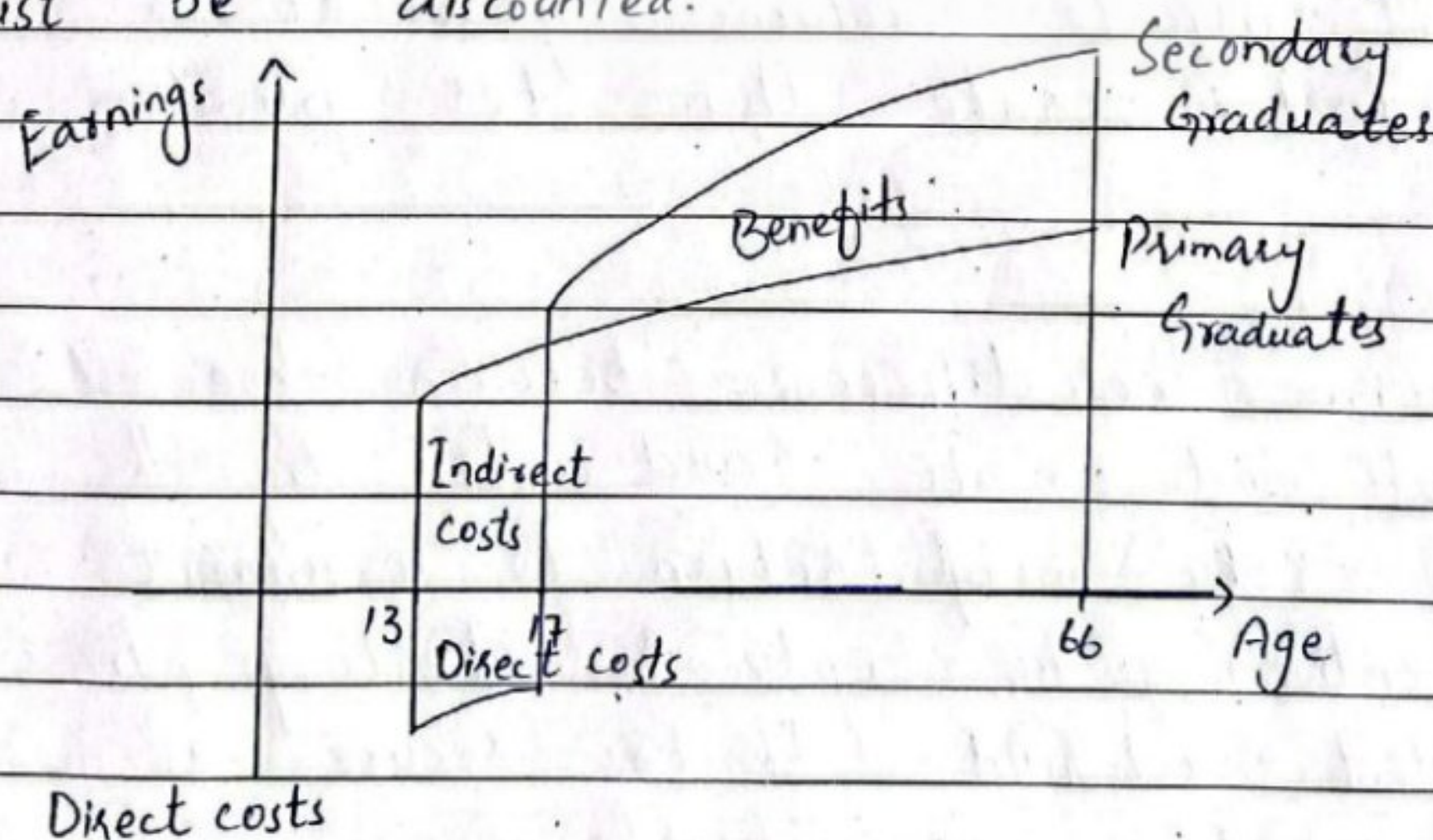
$$\sum \frac{E_t - N_t}{(1+i)^t}$$

An analogous formula applies to health (such as improved nutritional status) with the direct and indirect cost of resources devoted to health compared with the extra income gained in the future as a result of higher health status.

Given figure provides a typical schematic representation of the trade-offs involved in the decision to continue in school.

It is assumed that the individual works from the time he or she finishes school until he or she is unable to work, retires, or dies. This is taken to be 66 years. Two earning profiles are presented for workers with primary school but no secondary education and for those with a full secondary (but no higher) education. Primary graduates are assumed to begin work at age 13, secondary graduates at the

age 17. For an individual in a developing country deciding whether to go on from primary to secondary education, four years of income are forgone. This is the indirect cost as labeled in the diagram. The child may work part time, a possibility ignored here for simplicity, but if so, only part of the indirect-cost area applies. There is also a direct cost, such as fees, school uniforms, books and other expenditures that would not have been made if the individual had left school at the end of the primary grades. Over the rest of the person's life, he or she makes more money each year than would have been earned with only a primary education. This differential is labeled Benefits in the diagram. Before comparing costs with benefits, note that a dollar today is worth more to an individual than a dollar in the future, so those future income gains must be discounted.



* Discount rate:

In present-value calculations, the annual rate at which future values are decreased to make them comparable to values in the present.

SOCIAL VERSUS PRIVATE BENEFITS AND COSTS:

The social costs of education (The opportunity cost to society as a whole resulting from the need to finance costly educational expressions at a higher levels when these limited funds might be more productively used in other sectors of the economy), increase rapidly as students climb the educational ladder.

The private costs of education (Those borne by students themselves) increase more slowly or may even decline.

In the figure number ① expected private returns and actual private costs are plotted against years of completed schooling. As a student completes more and more years of schooling, her expected private returns grow at a much faster rate than her private costs.

To maximize the difference between expected benefits and costs (and thereby the private rate of return to investment in education), the optimal strategy for a student would be to secure as much schooling as possible.

In ② second figure, where social returns and social costs are plotted against years of schooling. The social benefits curve rises sharply at first, reflecting the improved

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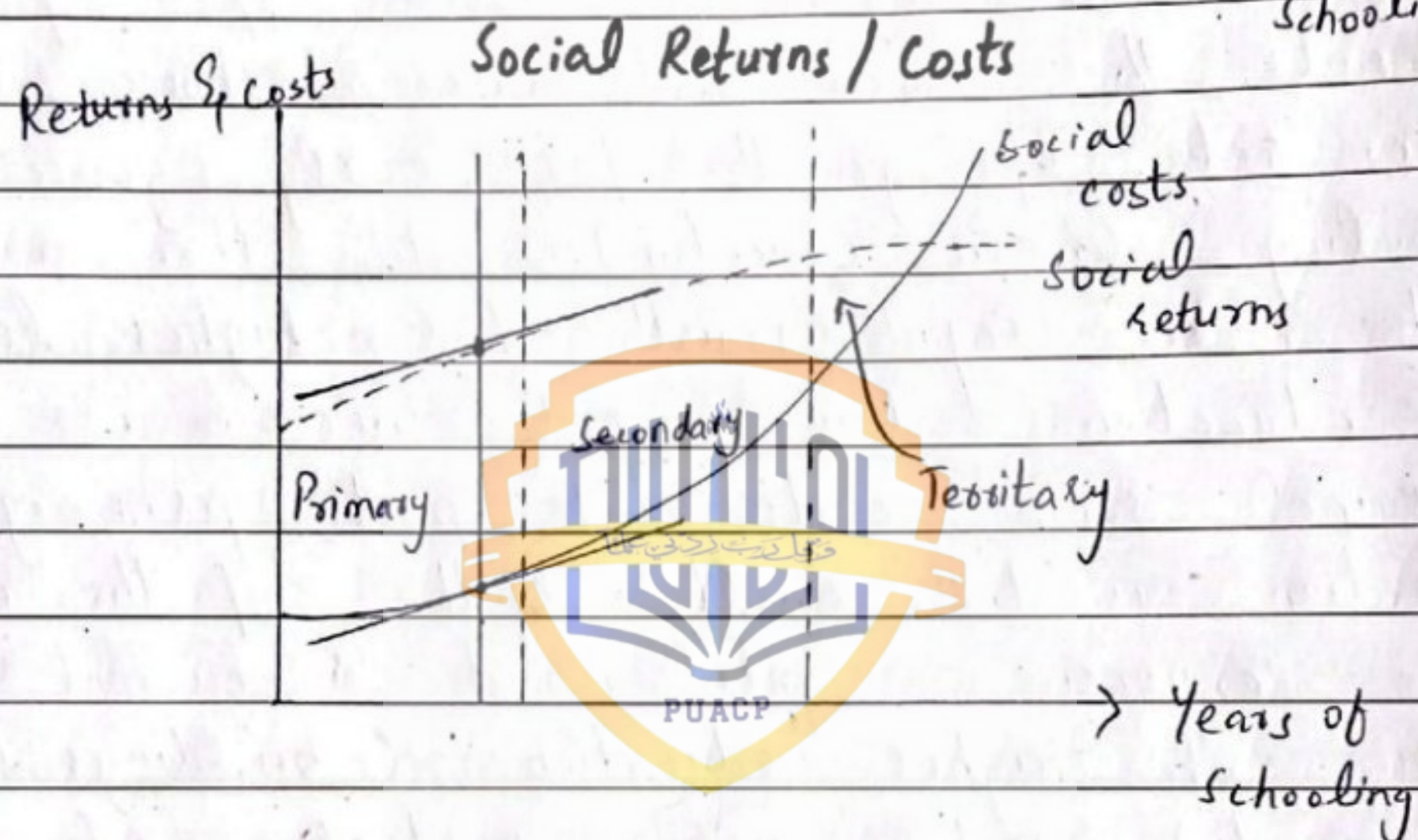
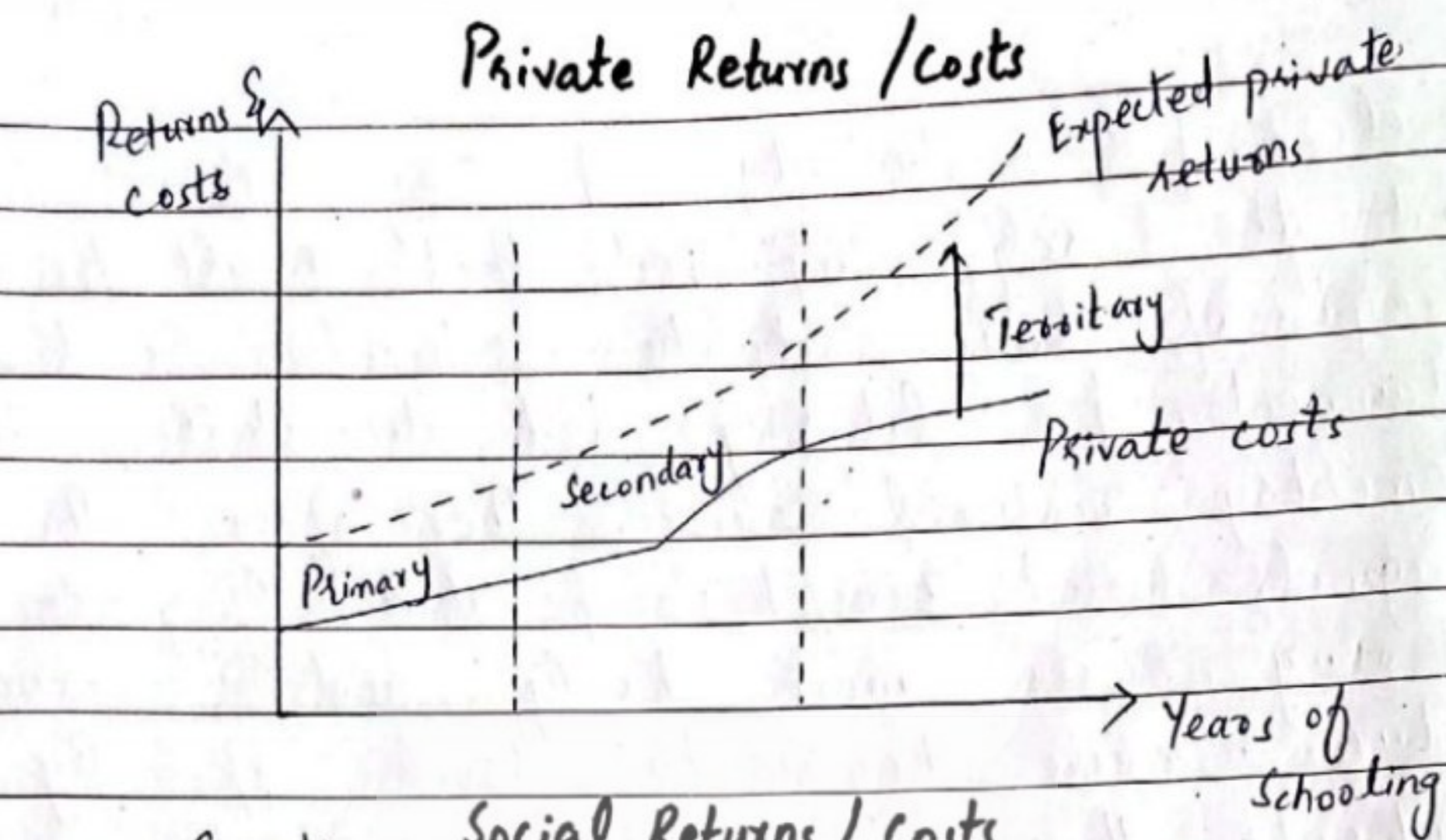
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levels of productivity of say, small farmers and the self employed that result from receipt of basic education and the attainment of literacy, arithmetic skills, and elementary vocational skills. Thereafter, the marginal social benefit of additional years of schooling rises more slowly and the social returns curve begins to level off. By contrast, the social cost curve shows a slow rate of growth for early years of schooling (basic education) and then a much more rapid growth for higher levels of education. This rapid increase in the marginal social costs of post-primary education is the result both of the much more expensive capital and re-current costs of higher education (buildings and equipment) and more important, of the fact that much post primary education in developing countries is heavily subsidized.

It follows from second figure that the optimal strategy from a social viewpoint, the one that maximizes the net social rate of return to educational investment, would be one that focuses on providing all students with at least B years of schooling. Beyond B years, marginal social costs exceeds marginal social benefits, so additional public educational investment in new, higher-level school places will yield a negative net social rate of return.



SUBSISTENCE FARMING: RISK AVERSION

UNCERTAINTY, AND SURVIVAL

PART (A).

Figure (A) provides a simple illustration of how attitudes towards risk among small farmers may militate against apparently economically justified innovations. In the figure level of outputs and consumption are measured on the vertical axis and different points in time on the horizontal axis and two straight lines are drawn. The lower horizontal line measures the minimum consumption requirements (MCR) necessary for the farm family's

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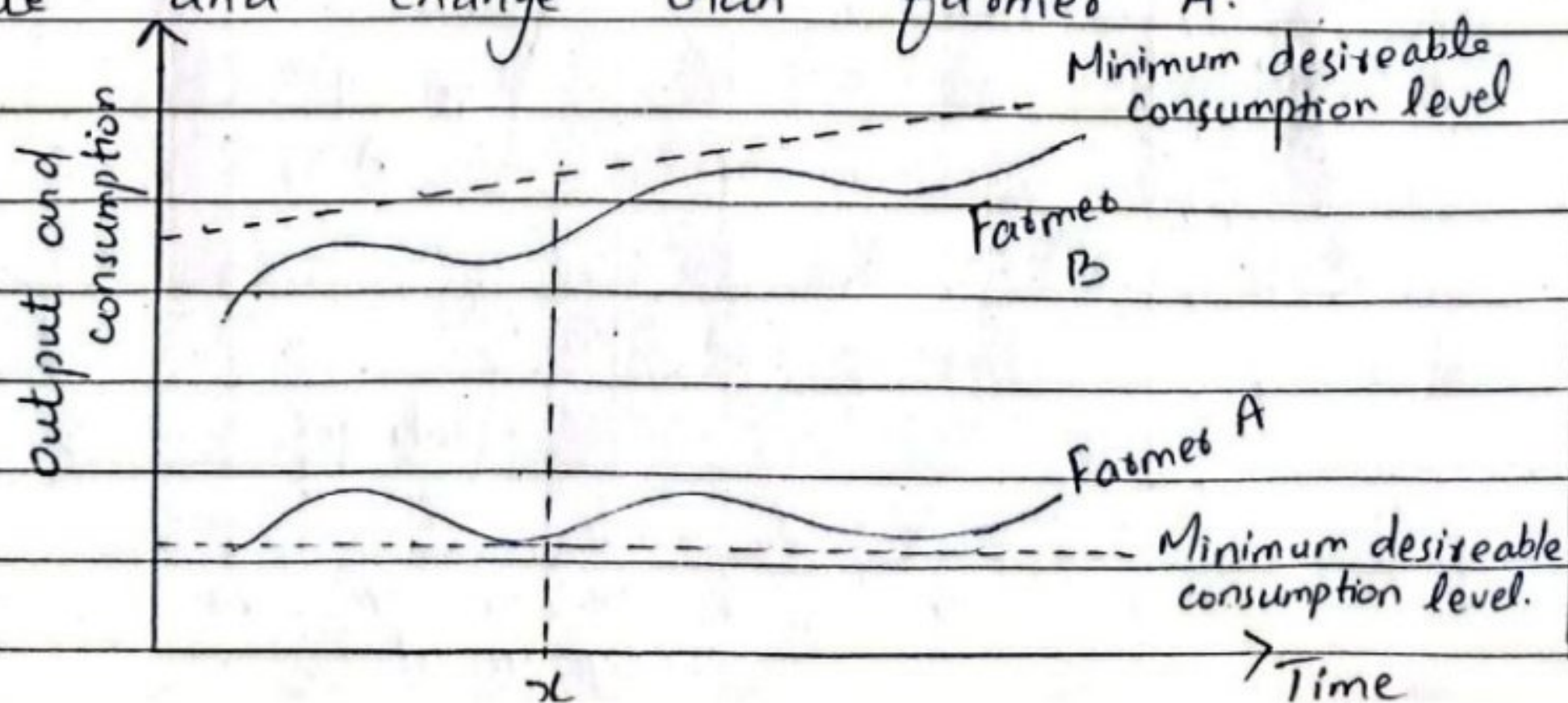
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physical survival. This may be taken as the starvation minimum fixed by the nature. Any output below this level would be catastrophic for the peasant and his family. The upper, positively sloped straight line represents the minimum level of food consumption that would be desirable given the prevailing cultural factors affecting village consumption standards. It is assumed that the minimum desirable consumption level (MDCL) rises over time to reflect rising expectations as traditional societies are opened up to external influences. The producer's attitude towards the risk will be largely conditioned by his historical output performance relative to these two standards of reference.

In the given figure, we see that at time x , farmer A's output levels have been very close to MCR. He is barely getting by and cannot take a chance of any crop failure. He will have a greater incentive to minimize risk than farmer B, whose output performance has been well above the minimum subsistence level and is close to the culturally determined MDCL. Farmer B will therefore be more likely to innovate and change than farmer A.

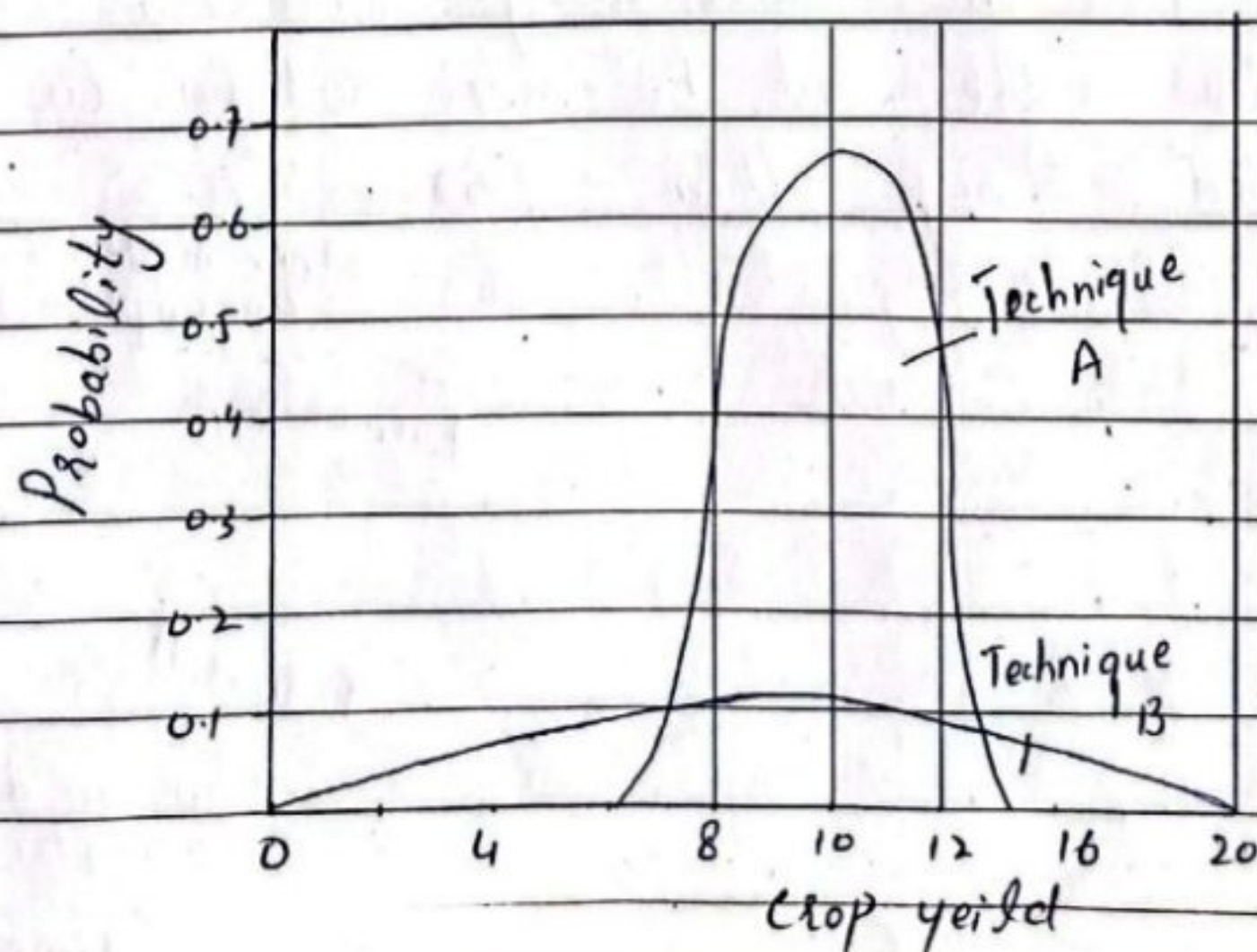


PART (B):-

In figure (B), two graphs portraying hypothetical probabilities for crop yields are depicted.

The higher graph (technique A) shows a production technology with a lower mean crop yield (10) than that of (technique B) (12), shown by a lower graph. But it also has a lower variance around that mean yield than (technique B). Clearly, the chances of starving are much greater with (technique B) so risk-averse peasant farmers would naturally choose (technique A) the one with lower mean yield.

We may conclude that peasant farmers do act rationally and are responsive to economic incentives and opportunities. Where innovation and change fail to occur, we should not assume that peasants are stupid, irrational, or conservative; instead, we should examine carefully the environment in which the small farmer operates to search for the particular institutional or commercial obstacles that may be blocking or frustrating constructive change.



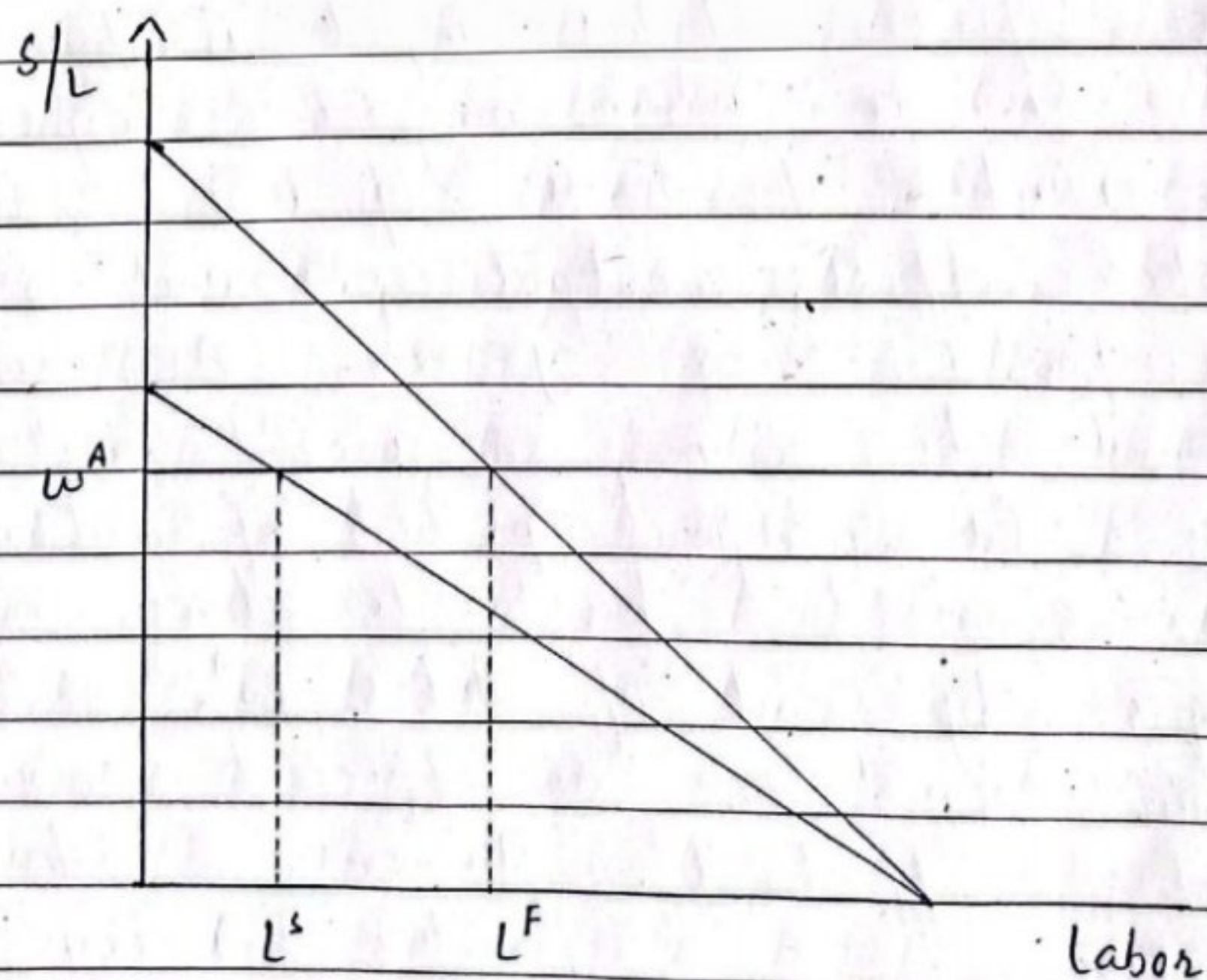
SHARECROPPING AND INTER-LOCKING FACTOR MARKETS

Sharecropping occurs when a peasant farmer uses landowner's farmland in exchange for a share of food output, such as half of the rice or wheat that he grows. The landlord's share may vary from less than a third to more than two-thirds of output, depending on local labor availability and the other inputs (such as credit, seeds, and hoes), that the land lord provides.

Sharecropping was long considered by economists to be economically inefficient. Alfred Marshall observed that the farmer was in effect paid only part, rather than all, of his marginal product and would rationally reduce work effort accordingly. This effect can be seen graphically in given figure. Labor input is found along the x-axis which may be interpreted as number of hours of work, or of total effort; output per unit of labor is found along y-axis. A farmer who owned his own farm would work until his value marginal product of labor (VMP_L) was equal to his alternative wage, or opportunity cost of labor w^A , and so would put in an efficient amount of labor effort L^E . However, a sharecropper receives only a fraction γ say of his effort, for example under 50-50 sharecropping the sharecropper's share would be $\gamma = 0.5$. Thus, the sharecropper would receive only

γ of his value marginal product, or γVMP_L .
As a result, the sharecropper would have an incentive to put in an inefficiently low level of effort L^S .

This view was challenged in 1960s by Steven Cheung who argued that, profit maximizing landlords would establish contracts requiring adequate work effort from the tenant as well as stipulating each party's share of the output. If as Cheung argued, effort is not too difficult to monitor, then if one tenant failed to live up to his part of bargain, he would be replaced by another tenant, who was willing to work harder; as a result, sharecropping would be as efficient as any other contractual form.



THE ENVIRONMENT AND DEVELOPMENT

Traditional Economic Models of The environment:-

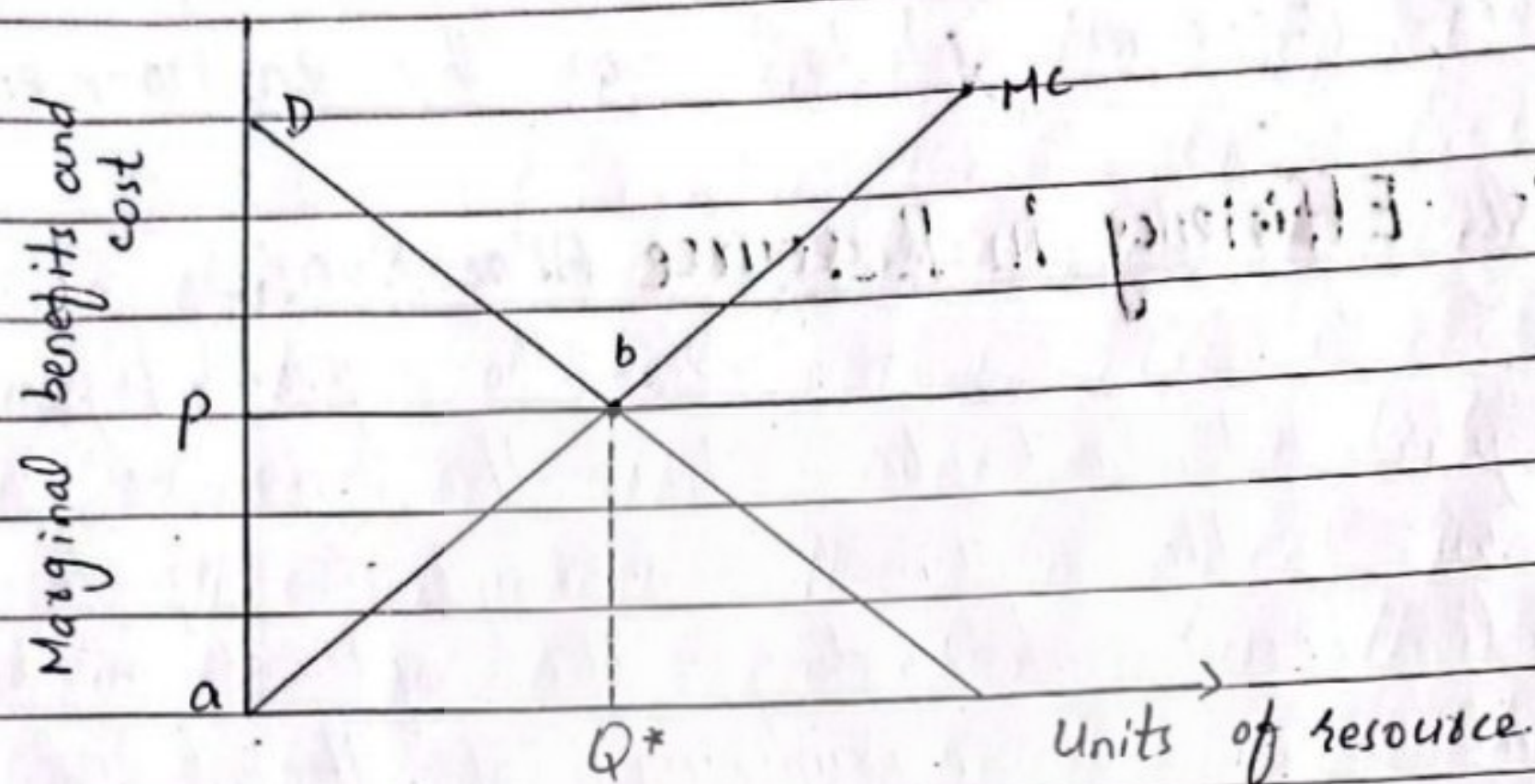
(i) Static Efficiency in Resource Allocations:-

In The given figure, the figure demonstrates how the market determines the optimal consumption of a natural resource. Finding the optimal market outcome involves maximizing of the total net benefits to society from a resource, which is the difference between the total net benefits derived from a resource, and the total costs to producers of providing it. This is equal to shaded area in given figure. Total net benefits is maximized when the marginal cost of producing or extracting one ~~is~~ more unit of the resource is equal to its marginal benefit to the consumer. This occurs at Q^* , where the demand and supply curves intersect.

In a perfectly competitive market the "invisible hand" will ensure that Q^* is the quantity produced. The marginal cost curve is upward-sloping because extraction costs increase as a resource becomes more scarce. The resulting producer surplus or profit, is called a scarcity rent. In the diagram, the producer surplus is area aPb , and the consumer surplus is area DPb . Together they yield a maximum net benefit equal to Dab .

In principle, some of these scarcity rents could be taxed and used for

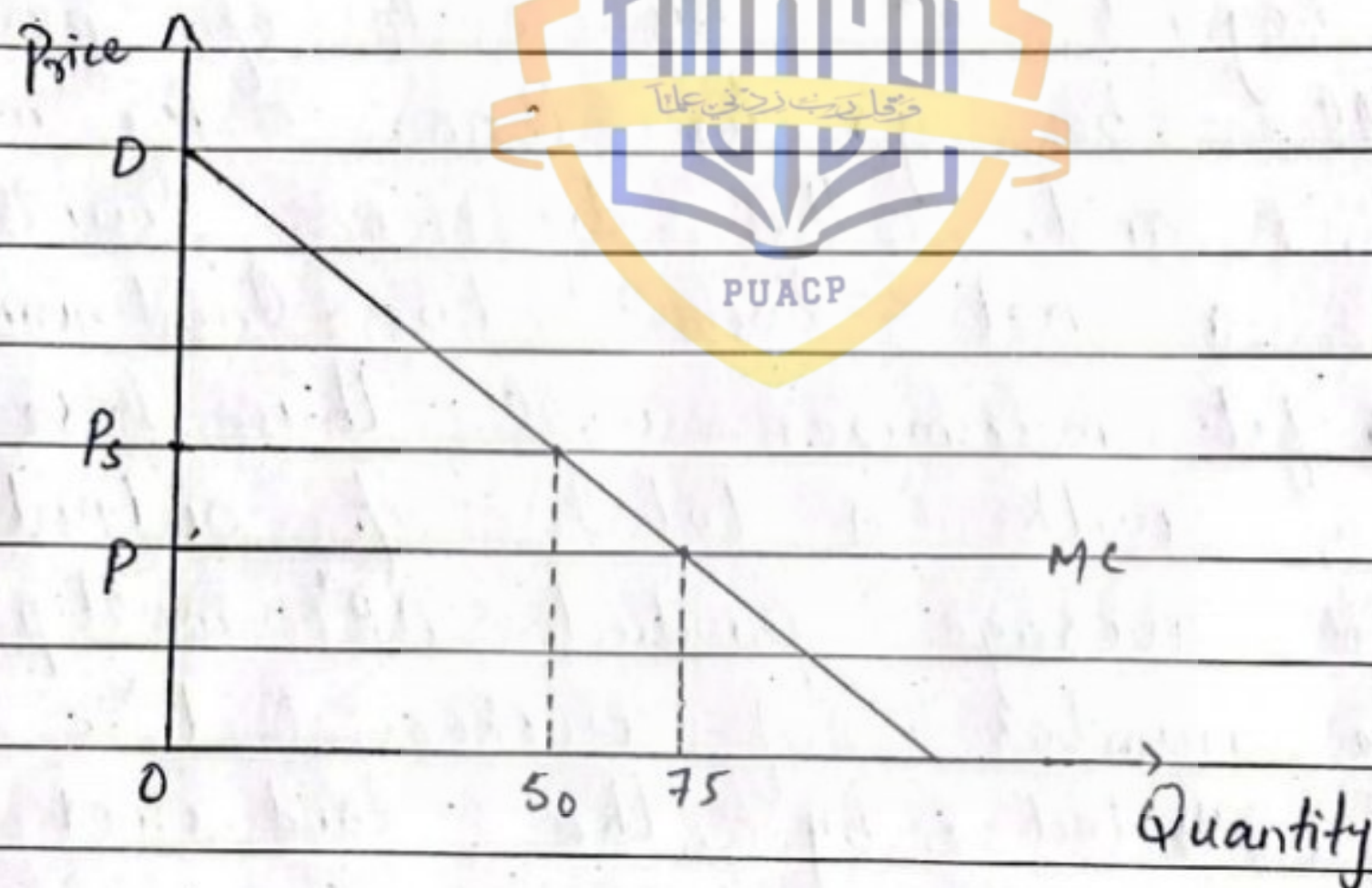
environmental protection or other socially useful purposes.



(2) Optimal Resource allocation over time:-

If the resources are scarce and are rationed over time, scarcity rents may even rise when the marginal cost of production is constant as shown in figure. The owner of a scarce resource has a finite volume of resource X to sell (75 units) and knows that by saving a portion of it for future sales, she can charge a higher price today. The price of a good that is being rationed intertemporally (over time) must equate the present value of the marginal net benefit of the last unit consumed in each period. That is, the consumer must be indifferent between obtaining the next unit today or tomorrow. Assume that a resource owner has 75 units available. If she is willing to offer only 50 units for sale today, the market price for scarce resource is P_s . The scarcity rent collected by the owner

of the resource is equal to P_s abP, the shaded region in the diagram between price and marginal cost. It is the owner's ability to collect these rents that creates the rationing effect and is thus necessary to ensure the efficient allocation of resources over time. In the absence of scarcity, all of the resource will be sold at the extraction cost $P = MC$. 75 units will be consumed at one time, and no rents will be collected.



COMMON PROPERTY RESOURCES:-

If a scarce resource (such as arable land) is publicly owned and thus freely available to all (for say, farming or grazing animals) as is the case with a common property resource, any potential profits or scarcity rents will be completely away.

Suppose for a moment that title to this piece of land is privately held. Conventional wisdom tells us that the landowner will hire additional labor to work the land

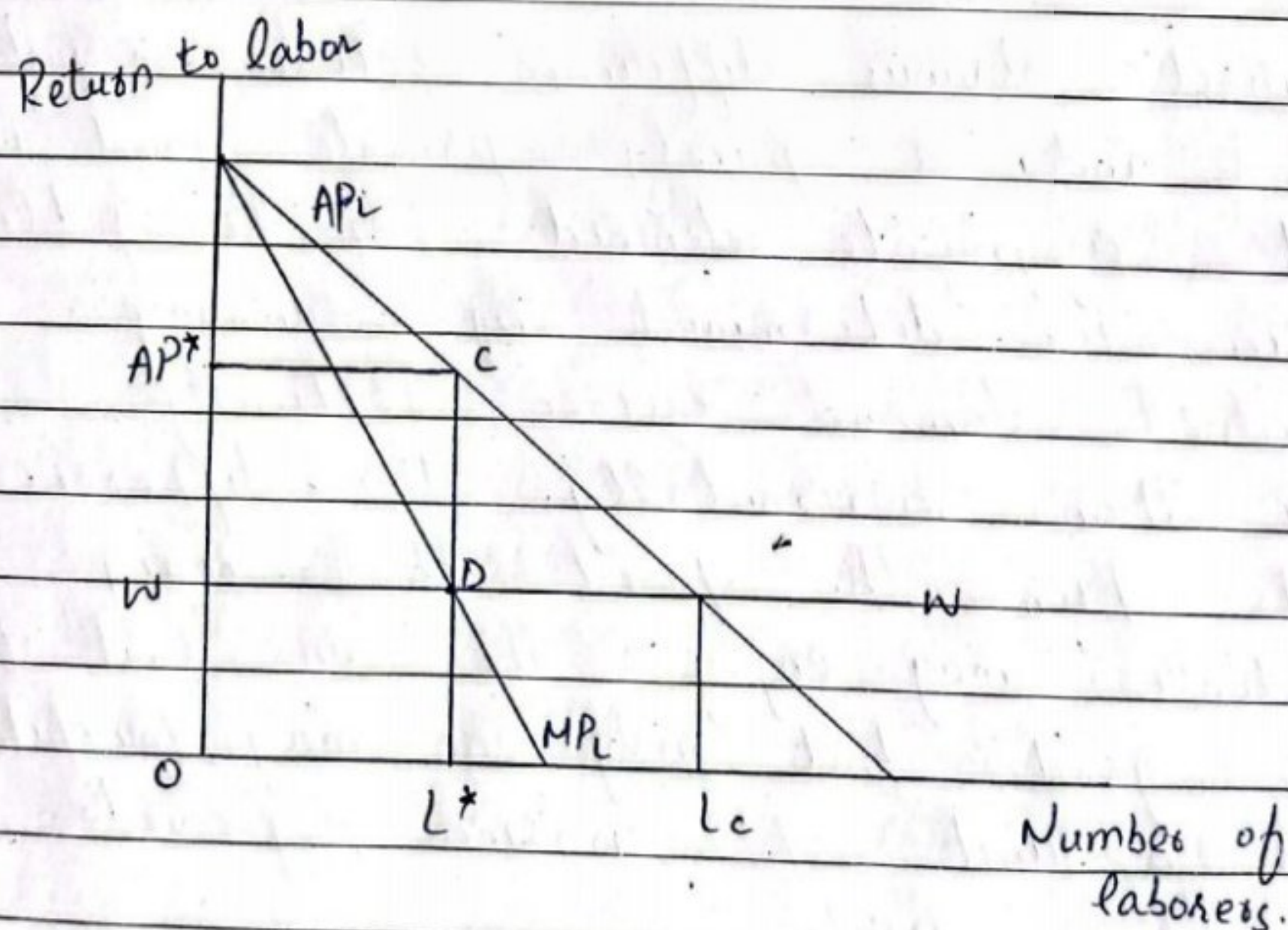
untill the marginal product of the last worker is equal to the market wage, w , at point L^* . The workload is shared equally among the employees, each of whom produces the average product. However, assuming decreasing returns to labor, each new worker hired reduces the average product of all other workers. The marginal product of each additional worker is thus equal to his average product minus the decrease in average product across all workers. If an additional employee is hired beyond L^* , his cost of production w will be greater than his marginal product, and the difference will represent a net loss to land owners.

A profit maximizer will thus hire L^* workers, with a total of output equal to average product AP^* multiplied by the number of workers, L^* . Scarcity rents collected by the land owner will equal AP^*CDW .

Society's total net benefit from land will be lower under a system of common property, unless workers can coordinate their resource use decisions in a cooperative manner. Generally, if land is commonly owned, each worker is able to appropriate the entire product of his work, which is equal to the average product of all workers. Worker income will continue to exceed the wage untill enough workers are attracted, so that the average product falls to

the level of the wage, at which point the labor force equals L_c . Though total farm output may either rise or fall (depending on whether MPL is positive or negative, it is negative as drawn in figure), the marginal product of the additional workers is below the wage.

Because we are assuming that all workers could be employed elsewhere with productivity equal to or greater than w , it follows that social welfare must fall when marginal product falls below w . No scarcity rent is collected at L_c . The implication of common property resource model is that, where possible, privatization of resources will lead to an increase in aggregate welfare and efficient allocation of resources.



PUBLIC GOODS AND BADS: REGIONAL ENVIRONMENTAL DEGRADATION AND FREE RIDER PROBLEM:

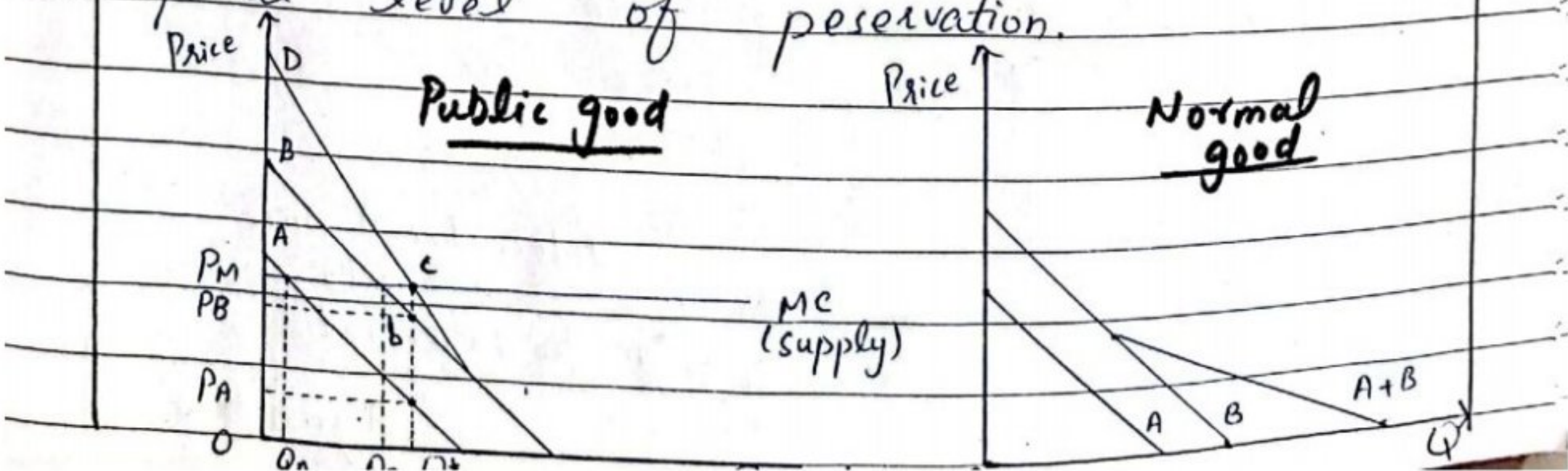
A public good is anything that provides a benefit to everyone and the availability of which is in no way diminished by its simultaneous enjoyment by others.

Let us consider the case of a particular public bad, regional environmental degradation, caused by deforestation. Increased exposure to the forces of erosion, excessive drying of the soil, regional loss of ground water. Environmental conservation through the protection of trees provides a benefit to all and is thus a public good.

The most obvious difference between a public good and a purely private good is that aggregate demand for the public resource is determined by summing individual demand curves vertically rather than horizontally. The difference results from the fact that many individuals may enjoy the same unit of public good, but only one may benefit from a unit of normal, private consumption good.

In figure, the socially optimal number of trees is Q^* . It is determined by the number of the vertically summed aggregate intersection

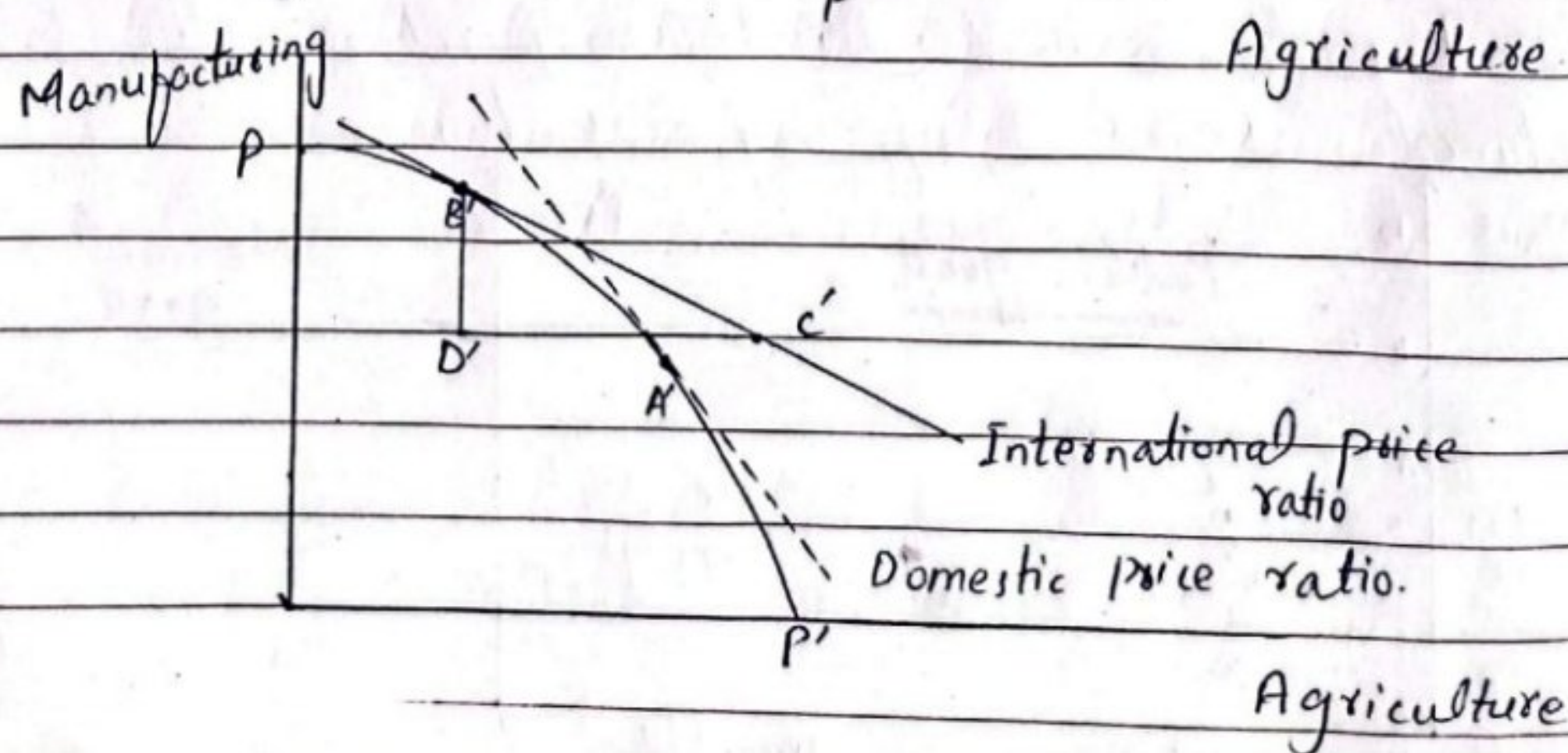
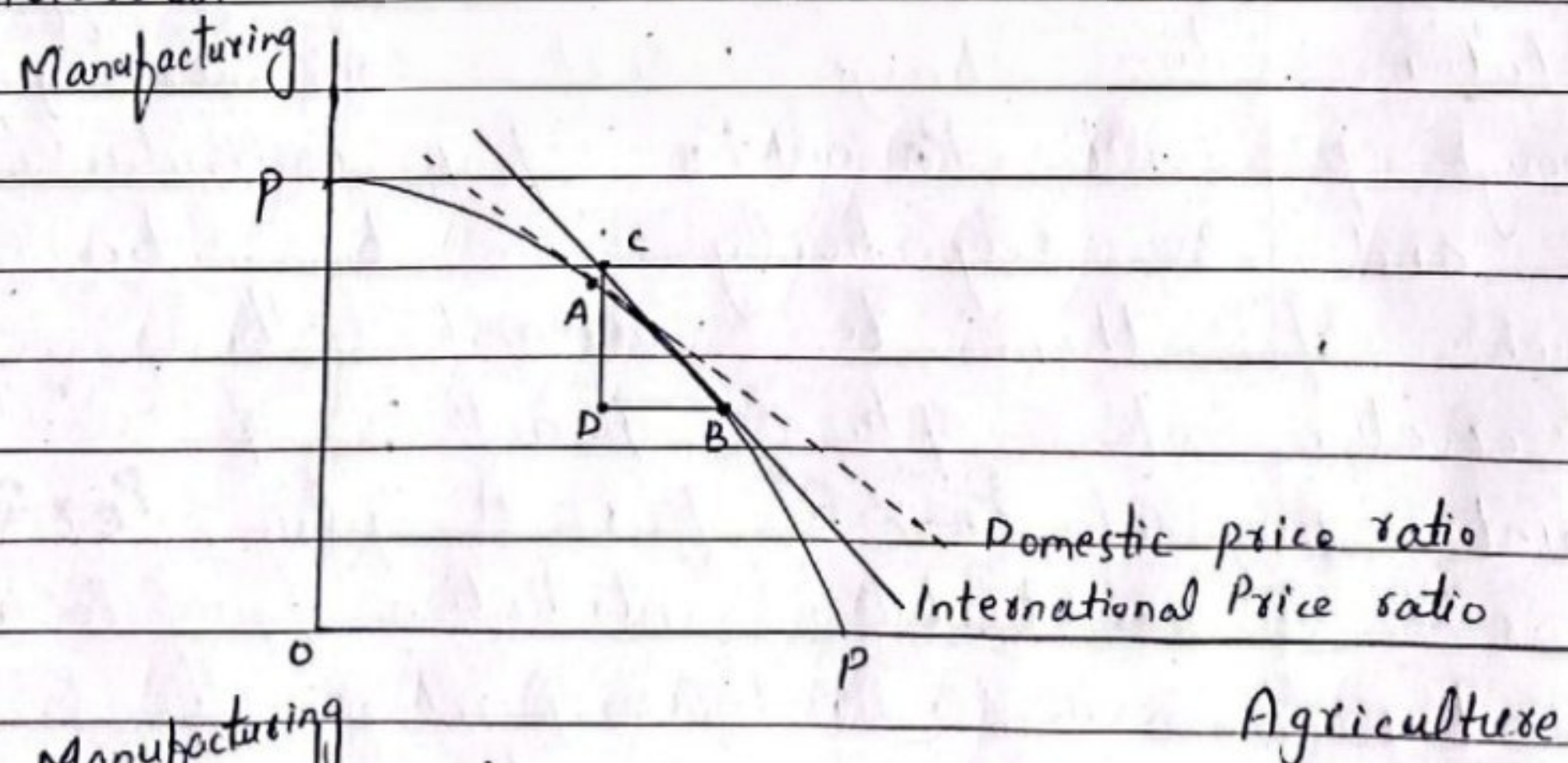
demand curve with the supply (MC) curve. At Q^* , total net benefits to society from the public good $P_M D_C$, are maximized. However, due to what we call the free rider problem, the free market will not lead to this optimal quantity. Because individuals are able to enjoy the benefits of trees provided by others, each will contribute less than what he or she would if acting independently. At a price of P_M the free market will satisfy Person B's demand Q_B while not denying person A's requirements of Q_A . That is A can side free on B's contribution. The market will therefore provide a suboptimal level of forest preservation, Q_B . To restore optimality (Q^* of the public good), some form of government intervention is required. The most effective solution is to charge each consumer just enough per unit, P_A and P_B for individuals A and B respectively, so to entice each of them to demand the preservation of optimal quantities of Q^* . Their joint payments $P_A \times Q^*$ for A plus $P_B \times Q^*$ for B represent total contribution equal to $P_M \times Q^*$ exactly the sum required to purchase the socially optimal level of preservation.



GAINS FROM THE TRADE..

The Heckscher-Ohlin new classical factor endowment trade theory explains that a country should specialize in the production of those commodities in which it uses its abundant factor intensively.

The factor endowment theory goes on to argue that capital-abundant countries will tend to specialize in such products as automobiles, aircrafts, sophisticated electronic communication goods, and computers, which use capital intensively in their technology of production. They will export some of these capital-intensive products in exchange for the labor- or land-intensive products like food, raw materials and minerals that can best be produced by countries that are relatively well endowed with labor or land.



Point A on developing world production possibility frontier PP in ~~the~~ figure provides the illustration. With full employment of all resources and under perfectly competitive assumptions. Developing world will be producing and consuming at point A, where the relative price ratio P_a/P_m will be given by the slope of the dotted line $(P_a/P_m)T$ at point A. in figure 12.4 (b) with a domestic price ratio $(P_a/P_m)R$ that differs (agricultural goods are relatively more costly, or conversely, manufactured goods are relatively cheaper). from that Developing world. Note that with a closed economy, both countries will be producing both commodities. However, Developing world, being poorer, will produce a greater proportion of food products in its (smaller) total output.

The main conclusions of the neo-classical model of free trade are that all countries gain from trade and world output is increased.

FOREIGN DIRECT INVESTMENT:

- Increase in savings.
- Increase in employment.
- Increase in education and training.
- Increase in research and development
- Increase in tax revenue.
- Increase in foreign capital.
- Improved infrastructure.
- Increase in choices in market.

SHORT Q/A SECTION

(1) Urban Bias:-

The notion that most governments in developing countries favour the urban sector in their development policies, thereby creating a widening gap between urban and rural economies.

(2) Rural - urban migration:-

The movement of people from rural villages, towns and farms to urban centers (cities) in search of job.

(3) Agglomeration economies:-

Cost advantages to producers and consumers from location in cities and towns, which take the forms of urbanization economies and localization economies.

(4) Urbanization economies:-

Agglomeration effects associated with the general growth of concentrated geographic region.

(5) Localization economies:-

Agglomeration effects associated with (captured) by particular sectors of the economy such as finance or autos, as they grow within area.

(6) Informal sector:-

The part of the urban economy of developing countries characterized by small

competitive individual or family firms, petty retail trade and services, labor-intensive methods, free entry, and market determined ~~and~~ factor and product prices.

(7) Todaro migration model:-

A theory that explains rural-urban migration as an economically rational process despite high urban unemployment. Migrants calculate (present value of) urban expected income (or its equivalent) and move if this exceeds average rural income.

(8) Harris - Todaro model:-

An equilibrium version of the Todaro migration model that predicts that expected incomes will be equated across rural and urban sectors when taking into account informal-sector activities and outright unemployment.

(9) Present value:-

The discounted value at the present time of a sum of money to be received in the future.

(10) Labor turnover:-

Worker separation from employers, a concept used in theory that the urban-rural wage gap is partly explained by the fact that urban modern-sector employers pay higher wages to reduce the labor turnover rates and retain trained and skilled workers.

(ii) Efficiency wage:-

The notion that modern sector urban employers pay a higher wage than equilibrium wage rate in order to attract and retain a higher quality work force or to obtain higher productivity on job.

(12) Induced migration:-

Process in which the creation of urban job increases (raises) expected incomes and induces more people to migrate from rural areas.

(13) Wage subsidy:-

A government's financial incentive to private employers to hire more workers, as through tax deductions for new job creation.

(14) Human capital:-

Productive investments embodied in human persons, including skills, abilities, ideals, health and locations, often resulting from expenditures on education, on the job training programs and medical care.

(15) Conditional cash transfer programs:-

Welfare benefits provided conditionally based on family behaviour such as children's regular school attendance and health clinic visitations.

(16) Private benefits:-

The benefits that accrue directly to an individual economic unit. For example, private benefits of education are those that directly accrue to a student and his or her family.

(17) Derived demand:-

Demand for a good that emerges indirectly from demand for another good.

(18) Social benefits of education:-

Benefits of the schooling of individuals, including those that accrue to others or even to the entire society, such as the benefits of more literate workforce and citizenry.

(19) Social costs of education:-

Costs borne by the both individual and society from private education decisions, including government education subsidies.

(20) Private costs:-

The costs that accrue to an individual economic unit is called private cost.

(21) Green Revolution:-

The boost in grain production associated with the scientific discovery of new hybrid seed varieties of wheat, rice and corn that have resulted in high farm yields in many developing countries.

(22) Agrarian system:- The pattern of land distribution and ownership, and management and also the social and institutional structure of the agrarian economy.

(23) Latifundio:- A very large landholding found particularly in Latin American agrarian system, capable of providing employment for more than 12 people, owned by a small number of land lords and comprising a disproportionate share of total agricultural land.

(24) Minifundio:- A landholding found particularly in Latin American agrarian system considered too small to provide adequate employment for a single family.

(25) Transaction costs:- Costs of doing business related to gathering information, monitoring, establishing reliable suppliers, formulating contracts, obtaining credit and so on.

(26) Subsistence farming:- Farming in which crop production, stock rearing and other activities are conducted mainly for personal consumption.

(27) Shifting cultivation:-

Tilling land until it has been exhausted of fertility and then moving to a new parcel of land, leaving the former one to regain fertility until it can be cultivated again.

(28) Staple food:-

A main food consumed by large portion of country's population is called staple food.

(29) Interlocking factor markets:-

Factor markets whose supply functions are interdependent, frequently because different inputs are provided by the same suppliers who exercise monopolistic or oligopolistic control over resources.

(30) Specialized farming:-

The final and most advanced stage of the evolution of agricultural production in which farm output is produced wholly for the market.

(31) Sources of small scale agricultural progress:-

- Technological change and innovation.
- Appropriate government economic policies.
- Supportive social institutions.

(32) Conditions for general rural advancement:-

- Modernizing farm structures to meet rising food demand.

- creating an effective supporting system.
- changing the rural environment to improve levels of living.

(33) Land reform:-

A deliberate attempt to recognize and transform agrarian systems with the intention of fostering a more equal distribution of agricultural incomes and facilitating rural development.

(34) Sustainable development:-

A pattern of development that permits future generations to live at least as well as the current generation, generally requiring at least a minimum environmental protection.

(35) Environmental accounting:-

The incorporation of environmental benefits and costs into the quantitative analysis of economic activities.

(36) Soil erosion:-

Loss of valuable topsoils resulting from overuse of farm land, and deforestation and consequent flooding of farm land.

(37) Deforestation:-

The clearing of forested land either for agricultural purposes or for logging and for use as firewood.

(38) Producer surplus:-

Excess of what a producer of a good receives and minimum amount the producer would be willing to accept because of a positive-sloping marginal cost curve.

(39) Consumer surplus:-

Excess utility over price derived by consumers because of a negative sloping demand curve.

(40) Scarcity rent:-

The premium or additional rent charged for the use of a resource or good that is in fixed or limited supply.

(41) Common property resource:-

A resource that is collectively or publicly owned and allocated under a system of unrestricted access, or as self-regulated by users.

(42) Public good:-

An entity that provides benefits to all individuals simultaneously and whose enjoyment by one person in no way diminishes that of another.

(43) Public bad:-

An entity that imposes costs on groups of individuals simultaneously.
Compare with public good.

(44) Free rider problem:-

The situation in which people can secure benefits that someone else pays for.

(45) What less developed countries can do:-

- Proper resource pricing.
- Community involvement.
- Clear property rights and resource ownership.
- Programs to improve the economic alternatives of the poor.
- Raising the economic status of women.
- Industrial emissions Abatement policies.

(46) How developed countries can help LDCs:-

- Trade policies.
- Debt relief.
- Development assistance.

(47) What developed countries can do for global environment:-

- Emission Controls
- Research and development.
- Import restrictions.

(48) Globalization:-

The increasing integration of national economies into expanding international markets.

(49) World trade organization:-

Geneva - based watchdog and enforcer in international trade agreements since 1995; replaced the General Agreements on Tariffs and trade.

(50) General Agreement on Tariffs and Trade (GATT):-

An international body setup in 1947 to explore ways and means of reducing tariffs on international traded goods and services; replaced in 1995 by WTO.

(51) Export dependance:-

A country's reliance on exports as a major source of financing for development activities.

(52) Current account:-

A portion of country's balance of payments that reflects the market value of country's "visible" and "invisible" exports and imports.

(53) Capital account:-

The portion of country's balance of payments that shows the volume of private foreign investment and public grants and loans that flow into and out of the country.

(54) Free trade:-

The importation and exportation of goods without any barriers in the form of tariffs, quotas, or other restrictions.

(55) Income elasticity of demand:-

The responsiveness of the quantity of commodity demanded to changes in the consumer's income, measured by the proportionate change in quantity divided by the proportionate change in income.

(56) Price elasticity of demand:-

The responsiveness of the quantity of commodity demanded to a change in its price, expressed as the percentage change in quantity demanded divided by the percentage change in price.

(57) Export earnings instability:-

Wide fluctuations in developing-country earnings on commodity exports resulting from low price income elasticities of demand leading to erratic movements in export prices.

(58) Commodity terms of trade:-

The ratio of country's average export prices to its average import price.

(59) Prebisch - Singer hypothesis:-

The argument that the commodity terms of trade for primary-product exports of developing countries tends to decline over time.

(60) Absolute advantage:-

Production of the commodity with the same amount of real resources as another produces but at a lower absolute unit cost.

(61) Factor endowment trade theory:-

The neo-classical model of free trade, which postulates that countries will tend to specialize in the production of commodities that make use of their abundant factors of production (land, labor, capital).

(62) Factor price equalization:-

In factor endowment trade theory, the proposition that because countries trade at a common international price ratio, factor prices among trading partners will tend to equalize.

(63) Enclave economies:-

Small economically developed regions in developing countries in which the remaining areas have experienced much less progress.

(64) Trade deficit:-

An excess of import expenditures over export receipts measured on the current account.

(65) Infant industry:-

A newly established industry, usually protected by a tariff barrier as a

part of policy of import substitution.

(66) Free market exchange rate:-

Rate determined solely by international supply and demand for domestic currency expressed in terms of, say, U.S. dollars

(67) Overvalued exchange rate:-

An official exchange rate set at a level higher than its real or shadow value.

(68) Non-tariff trade barriers:-

A barrier to free trade that takes a form other than a tariff, such as quotas or (possibly arbitrary) sanitary requirements.

(69) Nominal rate of protection:-

An ad valorem percentage tariff levied on imports.

(70) Effective rate of protection:-

The degree of protection on value added as opposed to the final price of an imported product - usually higher than nominal rate of protection.

(71) Value added:-

Amount of a product's final value that is added at each stage of production.

(72) Exchange control:-

A governmental policy designed to restrict the outflow of domestic currency and prevent the worsened balance of payments position by controlling the amount of foreign exchange that can be obtained or held by domestic citizens.

(73) Devaluation:-

A lowering of the official exchange rate between one country's currency and all other currencies.

(74) Depreciation (of currency):-

The decline over time in the value or price of one currency in terms of another as a result of market forces of supply and demand.

(75) Wage-price spiral:-

A vicious cycle in which higher consumer prices (e.g. as a result of devaluation) cause workers to demand higher wages, which in turn causes producers to raise prices and worsen inflationary forces.

(76) Economic integration:-

The merging to various degrees of the economies and economic policies of two or more countries in a region.

(77) Economic Union:-

The full integration of two or more economies into a single economic entity.

(78) Customs Union:-

A form of economic integration in which two or more nations agree to free all internal trade while levying a common external tariff on all non-member countries.

(79) Free trade area:-

A form of economic integration in which free trade exists among member countries but members are free to levy tariffs on nonmember countries.

(80) Common market:-

A form of economic integration in which there is free internal trade, a common tariff, and the free movement of labor and capital among partner states.

(81) Tied Aid:-

Foreign aid in the form of bilateral loans or grants that require the recipient country to use funds to purchase goods or services from donor country.

(82) Absorptive capacity:-

The ability of a country to absorb foreign private or public financial

assistance (to use funds in a productive manner).

(83) Two-gap model:-

A model of foreign aid comparing savings and foreign exchange gaps to determine which is binding constraint on economic growth.

(84) Official development assistance:-

Net disbursements of loans or grants made on concessional terms by official agencies, historically by high-income member countries of the Organization for economic cooperation and development (OECD).

(85) Foreign aid:-

The international transfer of public funds in the form of loans or grants either directly from one government to another or indirectly through the vehicle of a multilateral assistance agency such as World Bank.

(86) Foreign direct investment:-

Overseas equity investments by private multi-national corporations.

(87) Multi-national corporation:-

A corporation with production activities in more than one country.